

EG US Daily: Graham's death matters most for Ukraine and Israel

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US Daily

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 - * Blockade would be significant escalation in Iran conflict
 - * Democrats are getting antsy over Michigan Senate seat

Graham's death matters most for Ukraine and Israel. Senator Lindsey Graham's (R-SC) unexpected death over the weekend will reverberate across the policy landscape. Graham was an influential senator due to his closer relationship with President Trump, but his stature with other leaders—and within the US political environment—had been diminished by the perception that his personal positions varied in accordance with his attempt to maintain relevance with Trump.

* The most immediate implications are for Ukraine and Israel. Graham was a notable proponent of US aid for Ukraine, and his death will remove one of the loudest voices to which Trump listened on the subject. On Israel, Graham also argued strongly in favor of continued alignment despite Trump's political differences with Israeli Prime Minister Benjamin Netanyahu; his death could lead to a widening of the Trump-Netanyahu gap.

* In the Senate, Graham served as chair of the Senate Budget Committee and was a proponent of advancing a third reconciliation bill; his death is yet another headwind to that effort, which was already highly unlikely, and suggests that supplemental defense funding will not move until the end of the year.

* Graham's seat in South Carolina, which was up for re-election this year, is not at risk: South Carolina voted for Trump by 18 points in 2024 and 12 points in 2020, meaning that it would take a monumental Republican collapse nationally—along with the nomination of a candidate toxic to moderate voters—for Democrats to have a fighting chance. We expect that Trump's endorsement in the August special primary for the Republican nomination will be decisive, with figures like Rep. Ralph Norman (R-SC) and South Carolinian Lieutenant Governor Pamela Evette likely to be in the mix.

Blockade would be significant escalation in Iran conflict. The US and Iran continued exchanging fire over the weekend, both restricting their targets to military sites except for continued Iranian attacks on

shipping. Trump's announcement of the resumption of a US blockade of Iran and toll for ships it helps through the strait has the potential to significantly escalate the conflict.

* Trump's announced 20% toll for all ships leaving the strait, which appears to be a threat rather than developed policy, would amount to a \$15 increase in oil prices per barrel, pushing prices into the \$90-100 range. It remains to be seen how this toll proposal will materialize, though based on past rounds of hyperbolic US threats there is reason to be skeptical.

* While Trump's tolling proposal appears to be primarily a threat as of now, reimposing a naval blockade is more tangible as a US response. The US has kept the military assets needed to enforce a blockade in theater, and could re-impose restrictions in relatively short order. Of the two US options to escalate, re-imposition of a blockade is the more likely one.

* Despite Iran's statement that the strait is closed for shipping traffic has continued at a reduced level through the weekend, with around 20 ships transiting the strait per day compared to 30-50 last week. Oil prices are likely to rise now that the US has escalated, since the escalation means traffic through the Strait is likely to be disrupted (please see MENA Crisis, Oil Markets Weekly: Crude prices will rise as US resumes blockade , 13 July 2026).

* For more, please see forthcoming QT.

Democrats are getting antsy over Michigan Senate seat. With only a few weeks left until Michigan's marquee primary for the Democratic Senate nomination, there are signs that national Democrats are beginning to fret over the outcome: Senator Gary Peters (D-MI), whose retirement has created the vacancy, endorsed the moderate Rep. Haley Stevens (D-MI) over the weekend after previously indicating he would stay out.

* Democrats' Senate campaign apparatus would prefer a victory by Stevens over progressive Abdul El-Sayed, whose nomination they fear would play directly into Republican hands.

* El-Sayed has held a moderate polling lead over Stevens, but no public polling has been completed in the state since the other moderate candidate, Mallory McMorrow, dropped out. Her exit, alongside Peters's endorsement, could provide a much-needed boost to Stevens, who had a lackluster debate performance last week.

* Retaining the Michigan seat is a near-necessity for Democrats to flip the Senate this year. If Republican Mike Rogers wins the race, Democrats would need to run the board in competitive Republican-held seats, significantly complicating the path to a majority.

Quote of the Day

"I don't think that, on AI issues, we should be a party like where we are right now on cryptocurrency, where it's just not really clear where the Democratic Party stands ... We cannot afford for the public to be confused about which of the parties is for them versus the AI companies." - Rep. Greg Cesar (D-TX), chair of the Congressional Progressive Caucus, speaking to Politico about his efforts to define a progressive policy on AI; AI-affiliated spending has become commonplace over the last election cycle, leading some candidates to avoid addressing the issue out of fear of becoming a target.

On the Radar

14 July: Fed chair Kevin Warsh testifies before the House Financial Services Committee.

15 July: Senate Judiciary Committee confirmation hearing for Attorney General nominee Todd Blanche

15 July: Senate Select Committee on Intelligence confirmation hearing for Director of National Intelligence nominee Jay Clayton

16 July: Senate Committee on Health, Education, Labor and Pensions holds confirmation hearing for Secretary of Labor nominee Keith Sonderling.

24 July: Section 122 tariffs expire

27 July: Deadline for Maine Democratic Party to name Senate candidate if Platner drops out

4 August: Michigan primary election

3 November: National midterm elections

EG United States

unitedstates@eurasiagroup.net

Clayton Allen

Practice Head, United States

+1 202.903.0027

allen@eurasiagroup.net

Noah Daponte-Smith

Senior Analyst, United States

daponte-smith@eurasiagroup.net

Kendal Walker

Senior Analyst, United States

walker@eurasiagroup.net

Jason Walter

Researcher, United States

walter@eurasiagroup.net

Gregory Brew

Senior Analyst, Iran & Energy

+1 646 259 3207

brew@eurasiagroup.net

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Positive: Political factors in the country are anticipated to have a positive impact on the macro business environment

Neutral: Political factors in the country are anticipated to have a neutral or negligible impact on the macro business environment

Negative: Political factors in the country are anticipated to have a negative impact on the macro business environment

Disclaimers: Trajectories are solely for informational purposes and should not be relied upon as investment advice. Trajectories do not indicate asset price movements, and have no value in forecasting market prices. Trajectories are based on data and analysis we deem to be reliable; they are not guaranteed as to accuracy or completeness. The Trajectories indicate the political outlook in a single country, over time. Trajectories do not address sector-specific or city/regional political risks that are often different than the country-level outlook. Trajectories represent an analyst's net qualitative assessment of a country's political outlook. EG sales, analytic staff and products may provide analysis reflecting different opinions than those expressed by the Trajectories.

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